

went all the way back up to A, right where I hoped it would go during my trade. But nooo!”

Ralph took a small loss after factoring in commissions.

“I sold at the right time. The stock broke out downward from the triangle and could have continued a lot lower. In hindsight, though, I could have waited to see if the stock found support at the lower trendline. It was close enough that I could have tolerated the potential loss. In this case, all I had to do was wait no more than 3 days before price started climbing to A.”